

Schedule A to Disclosure to Borrower

Disclosure of Material Risks

Please select only those options which are appropriate:

☐**FixedRate Mortgage**

The mortgage being recommended is a fixed rate mortgage which means that you will have a fixed principal and interest payment and will remain constant for the term of the mortgage.

☐**Adjustable Rate Mortgage**

The mortgage being recommended has a variable rate, where the payment fluctuates with the prime interest rate. If there is an increase in interest rate, to prevent the negative amortization, the payment amount will increase, to ensure there is enough being paid to the principal amount each payment, so the mortgage comes to a \$0.00 balance at the end of the amortization. Since the payment is reset each time the lender's interest rate fluctuates, you must have sufficient funds to reflect any increases in the payment. This will result in a cash flow uncertainty for you, the borrower.

☐**Variable Rate Mortgage**

The mortgage being recommended is a variable rate mortgage, however the payment will be a set amount. If there is an increase in the prime interest rate, the fixed payment may not be sufficient to cover the interest due for payment period and may cause you to potentially enter in to a negative amortization scenario. To prevent the negative amortization, lender may require you to increase the amount of your payments, which could affect your cash flow.

☐**Interest Only Mortgage**

The mortgage is an interest only mortgage. This means that you will not be reducing the amount of your outstanding principal during the term of this mortgage. You will owe the same amount at the end of the term as was borrowed at the beginning of the term.

☐**Pre-Paid Interest**

The interest has been pre-paid with this mortgage. You will not pay any of your owing interest during the term of this mortgage; however, you still owe interest to the lender. The outstanding mortgage will include both the total loan amount and the interest accrued on the loan.

☐**Home Equity Line of Credit (HELOC)**

A HELOC is a line of credit that is secured against your real property with only interest payment required. The payments will fluctuate with the prime rate changes. Since the payment is reset each time the lender's interest rate fluctuates, you must have sufficient funds to reflect any increases in

the payment. This could result in a cash flow uncertainty for you, the borrower. Also, should the property value decrease, the lender may require a lump sum to be paid to the balance of the HELOC to keep the loan to value ratio in line with government/lender requirements.



Reverse Mortgage

The mortgage being recommended is a reverse mortgage, with no requirement to pay any amount toward the principal or the interest. As a result, the interest will accrue and the balance will increase. The mortgage balance will not need to be repaid until the homeowner sells the property, or upon the death of the homeowner. It is important to understand that the reverse mortgage may reduce, in part or in whole, the amount of equity remaining to be passed into the estate. Additional costs, such as higher interest rates and fees, may apply compared to traditional mortgages. Borrowers should carefully consider the long-term impact on their financial situation and estate planning.



Hybrid Mortgage and Home Equity Line of Credit

A hybrid mortgage combines a fixed-rate or variable-rate closed-term mortgage with an open home equity line of credit (HELOC). This structure provides both stability and flexibility but comes with important considerations regarding repayment strategy and the ability to manage fluctuating HELOC payments.



Closed Mortgage

Your mortgage is a closed term. You may not be able to refinance the mortgage until the term expires at all or without penalty. You may not be able to renegotiate this mortgage if interest rates decrease unless you refinance the mortgage and pay all additional costs such as prepayment penalties, legal fees, and/or other costs associated with financing. Some closed mortgages cannot be broken without a sale of the property.



Low Rate/No Frills Mortgage

Your mortgage is a “Low Rate” or “No Frills” Mortgage. You may not have prepayment privileges, and you may not be able to refinance this mortgage until the term expires. If you are able to refinance prior to the end of term, this type of mortgage incurs higher than normal penalties or requires that you remain with the same lender. Some products include a bona fide sale clause, meaning the mortgage can only be discharged if the property is sold to an unrelated third party. Borrowers should carefully review the terms and conditions to fully understand the restrictions and potential costs associated with these mortgage options.



Higher Total Debt Servicing (TDS) Ratio

The mortgage being recommended allows you to have higher TDS ratio than the typically allowed in the mortgage industry. By having a higher TDS ratio, you may be at risk of financial hardship due to reduced amount of cash flow and/or disposable income than you would have had if you had fewer monthly obligations.



Shortened Term

Your mortgage is a shorter term than five years. You will need to revisit your mortgage sooner than average, which may result in additional costs such as legal fees or other costs associated with financing.

☐**Cash Back Option**

The mortgage being recommended has a cash back option which provides you a lump sum of cash on closing. This option may put you at risk of having to repay some or this entire amount if you repay this mortgage before the end of the term.

☐**Accelerated Mortgage Payment**

Your mortgage has a higher payment than required. This will decrease the amount of interest you pay the lender over the life of the mortgage; however, the higher mortgage payment may impact your cash flow. If your financial situation changes during the term of this mortgage, you may not be able to decrease your mortgage payment and you may have to refinance your mortgage resulting in additional costs.

☐**Extended Amortization**

The mortgage being recommended has an extended amortization of 30/35/40 years. If you do not reduce this amortization period on renewal of the mortgage, you may substantially owe more in interest over the lifetime of this mortgage than you would pay on a mortgage with a standard 25 year amortization.

☐**Shortened Amortization**

The mortgage being recommended has an amortization period less than that for which you qualify. While this will decrease the amount of interest that you pay the lender over the life of this mortgage, you may be at risk of financial hardship due to the impact of a higher mortgage payment on your cash flow. If your financial situation changes during the term of this mortgage and you are unable to meet your payment obligations you may not be able to decrease your mortgage payment without refinancing this mortgage, which may result in additional cost to you such as prepayment penalties, legal fees and/or other costs associated with refinancing.

☐**Standard Charge Terms**

Every mortgage has terms and conditions which a borrower must abide by. You understand that this mortgage contains a set of Standard Charge Terms that governs your rights and obligations under this mortgage contract. There is a risk to you if you fail to meet these obligations which may include penalties assessed by the lender or an action to remedy the contravention by the lender's use of the power of sale process.

☐**Trigger Rate**

Every Variable Rate mortgage has a "trigger rate"

The trigger point and trigger rate - Is the rate when the contractual payments on the mortgage no longer covers the interest only portion on the mortgage. This is disclosed on the mortgage loan agreement from the lender. (If your mortgage is from TD, This is disclosed on the mortgage loan agreement on the top of page 4.)

Your approximate Trigger Rate is: _____%* This is an estimate, please refer to your mortgage loan agreement for the exact rate, as this is for reference only, always refer to your lenders calculations.

Trigger rate calculation – \$500,000 mortgage at 3.30% 30 year amortization, payments \$2,183 a month. $2183 \times 12 = \$26,196$ annual mortgage payments. $\$26,196 / \$500,000$ (or amount owing on mortgage at the time) = 5.2392% . This is the rate at which your lender will notify you in writing that you have to change your payment or make a lump sum.

☐**Compounding Period**

Compounding periods are the frequency at which interest is compounded on your mortgage and can impact the cost of borrowing. Most lenders in Canada compound interest semi-annually (every six months) for fixed-rate mortgages, which is the industry standard. Some lenders may use monthly compounding, particularly for certain variable-rate products, which results in more frequent interest calculations and slightly higher overall interest costs over time. HELOCs typically have monthly or daily interest calculations, meaning interest accrues more frequently but only on the outstanding balance.

☐**Credit Score Risk**

Your mortgage is based, in part, on your *current* credit score. Any changes to your credit or debt load will increase or decrease your credit score, which may affect your ability to maintain this mortgage.

☐**Income Risk**

Your mortgage is based, in part, on your *current* income source(s) and amount(s). Any changes to your income may affect your ability to maintain this mortgage.

☐**Rental Income**

Your mortgage is based, in part, upon your current rental income or market rent analysis. Any changes to the lease, tenants, or change in rental market may affect your ability to renew this mortgage. Should a tenant fall into arrears, you are required to make mortgage payments. A lender may request assignment of rents should the mortgage fall into arrears.

☐**Relying on Solicitor Advice**

Your mortgage associate has provided you with key data to help you choose this mortgage. Your lawyer is part of your process. Please confirm that you have discussed or will discuss this mortgage with your solicitor prior to funding when appropriate.

☐**Paying Your Mortgage**

You have provided the lender with a means to collect your mortgage payments. It is your responsibility to maintain enough money in that account to pay your mortgage payments as outlined in your commitment. If you do not provide adequate funds for each payment, you may incur penalties and/or you may have to repay some or all of this mortgage before the end of the term.

Client Acknowledgement

I hereby acknowledge that my Fairview Mortgages Corp Associate/Broker has discussed the material risks specific to my mortgage with me.

Client Signature: _____

Date: _____

Client Signature: _____

Date: _____